

Macdonald Hotels Limited

**Annual report and consolidated
financial statements**

Registered number SC247423

52 weeks ended 26 September 2024

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Strategic Report

The directors present their Strategic Report for the 52 weeks ended 26 September 2024.

Business review

The financial results for the 52 weeks ended 26 September 2024 are contained in the consolidated profit and loss account on page 11 of the report and accounts. The comparable figures shown in these accounts are for the 52 weeks to 28 September 2023.

The financial results for the period are skewed significantly by non-recurring exceptional legal costs relating to a High Court action raised by Macdonald Hotels Limited vs Bank of Scotland Plc, where the judge ruled in favour of Bank of Scotland Plc. Whilst the trial began in October 2024, after the period reported in these accounts, significant legal fees were incurred during the period, and a provision has been made as at 26 September 2024 to recognise the entire post year end legal spend, including a proportion of Bank of Scotland Plc legal fees as ordered by the Court. The Consolidated Profit & Loss account reflects these exceptional costs which total £22.9m in the period to 26 September 2024. There are no further costs to be recognised in any future periods; all outstanding balances as at 26 September 2024 have been settled and the legal fees have been paid in full and final settlement of all amounts due.

The Group obtained a £17m bridging loan in February 2025 to support the cash position following the cost award from the High Court in January 2025. This bridging loan was repaid in full in September 2025 following the sale of our Macdonald Elmers Court Hotel & Resort for £22m, which realised a profit on sale of £18.5m.

Given the exceptional and non-recurring nature of the legal expenses incurred in the period, the following narrative is based on the financial performance of the Group before exceptional items, as illustrated in the Consolidated Profit & Loss Account.

The loss for the period was £1.5m, on a turnover of £127.2m compared to a loss of £0.2m on a turnover of £128.9m for the 52 weeks to 28 September 2023.

For the same period the group operating profit for the 52 weeks to 26 September 2024 was £3.2m compared to an operating profit of £3.5m for the 52 weeks to 28 September 2023.

The reduction in sales in the year to 26 September 2024 is predominately a result of the sale of Ansty Hall in February 2023, coupled with a significant reduction in contracted business across a small number of our hotels in Scotland. Whilst this led to a reduction in occupancy and Food & Beverage sales, room rate continued to grow in the period. Our leisure clubs across 17 of our hotels have grown by 14% in the period, whilst spa revenue increased by 7% and golf sales improved by 13%. These ancillary revenue channels remain a key focus moving forward, especially with the opportunities which development will lead to across our facilities.

Rising costs in the period, particularly in staff costs, presented a challenge in terms of profit conversion, especially given they represent the largest cost to the Group on an annual basis. A 10% increase to National Minimum Wage in April 2024 markedly increased the Group's cost base, however this has been partly mitigated through more efficient payroll controls and a reduction in energy consumption of almost 10%.

The cash position is skewed significantly in the year to 26 September 2024 by the non-recurring exceptional legal costs. Despite this, the Group remains in a strong cash position and is focussed on developing and refurbishing assets from Autumn 2025 onwards.

With sales and profitability improving and profit and cash generation projections for the year to September 2026 remaining strong, the directors have prepared the financial statements on a going concern basis as explained in note 1 to the financial statements.

Strategic Report *(continued)*

The principal risks and uncertainties affecting the business include the following:

- **Economic risk:** the Group is exposed to a reduction in demand for hotel stays, caused by economic recession or cost of living challenges. This risk is mitigated by our geographical mix of properties across the whole of the UK, and Spain, our offering of both 4-star and 5-star hotels and self-catering apartments appealing to a wider variety of customers and our targeting of both Corporate and Leisure business.
- **Competitive risk:** the Group operates in competitive markets. Product development by competitors could adversely affect the Group. The Group's focus on quality and standards, the diversity of operations, strong focus on cost control together with the continual investment in its hotels and product reduces the possible effect of action by any single competitor.
- **Political risk:** The Group continues to monitor in particular the points-based immigration system and the impact this may have on recruitment of core hospitality staff. Our policy remains to provide our employees with a safe working environment, excellent working conditions and career progression opportunities combined with competitive rates of pay.
- **Information technology:** the ever-evolving digital landscape presents an increasing risk to businesses. Robust internal procedures and substantial IT investment in recent years have helped to mitigate such risk, and management remain vigilant to threats, including cyber-security.

Key areas of strategic development and performance of the business include:

- **Sales and marketing:** significant efforts are made to develop the Group's brand and ensure new business is being won continually; new markets have been developed in line with the Group's strategy and key customer relationships are monitored on a regular basis.
- **Competitive advantage:** the Group focuses on areas where it has a competitive advantage including quality and value and the development of its people through a number of programmes designed to equip managers, supervisors and employees with the skills and knowledge needed to progress within the business and offer great service to our customers.
- **Information technology:** the Group continues to realise the benefits of its investment in its central reservation and booking systems, its revenue management systems and its website.

Key financial performance indicators include the monitoring of the management of profitability and working capital.

The Board is satisfied that the working capital is being properly managed in the prevailing conditions in terms of debtors and creditors utilisation.

Financial	52 weeks ended 26 September 2024	52 weeks ended 28 September 2023	Measure
Gross profit %	7%	7%	Gross profit / Group turnover * 100
Debtors days	13.6	14.5	Trade debtors / Group turnover * days in accounting period.
Creditors days	41.5	50.1	Trade creditors / Cost of sales * days in accounting period

Strategic report *(continued)*

Key non-financial performance indicators include:

- Corporate Social Responsibility: The Group has calculated its carbon footprint per room across the entire estate and has introduced a Corporate Sourcing Policy which outlines the Group's commitment across areas of supply chain to exacting standards.
- The monitoring of quality: The Group continues to use a number of quality monitors across all segments of the business including AA stars and rosettes, ReviewPro, Trip Advisor and Booking.com to ensure that it consistently delivers high quality services and facilities to its customers across its portfolio.

Companies Act s.172 statement

The Board meets monthly with Board papers circulated in advance to allow all Directors to fully understand both the financial and non-financial performance of the Group, including Health & Safety, Corporate Social Responsibility, our People, Operations, Business Development and Financial all compared against our long-term plan and underpinned by our Corporate Governance Policy.

The Group's success depends on the commitment of its employees and its ability to attract and retain them as well as develop their skills, particularly in a highly competitive labour market. The group is aware the development of its employees is key to the sustainability of the business. To mitigate this risk the Group has well established staff development and training plans in place.

All decisions taken by the Board promote the success of the Group whilst taking into account the effect on the wider stakeholder group and the impact on the community and the environment. The Board also works to ensure the group maintains strong business relationships with suppliers and customers, has employee engagement as a key priority for the Group and is committed at all times to maintaining the highest standards of business conduct.

By order of the board



H Gillies
Director

Crutherland House & Spa
Strathaven Road
East Kilbride
G75 0QJ

22 September 2025

Directors' Report

The directors present their report and the audited financial statements for the 52 weeks ended 26 September 2024.

Principal activities

The principal activity of the Group is the operation of hotels and leisure resorts.

Dividend

The directors do not recommend the payment of a dividend (2023: £nil).

Market value of land and buildings

In the opinion of the directors, the market value of the land and buildings of the Group exceeds the book values of the assets.

Directors

The directors who held office during the 52 week period ended 26 September 2024 and to the date of this report were as follows:

RG Fraser
H Gillies
I Gillies
DJ Macdonald
GH Smith
JD Davidson (appointed 14 May 2025)
SP Davies (appointed 14 May 2025)
M Macdonald (appointed 14 May 2025)

Certain directors benefitted from qualifying third party indemnity provisions in place during the financial period and at the date of this report.

Employees

The Group has a policy of communicating and consulting with employees on matters of concern to them and providing information in particular on the financial and economic factors affecting the performance of the Group. Fair and equal consideration is given to the recruitment and career development of all employees including disabled persons, whether or not they become disabled while in the Group's employment and to the provision of training and other assistance where necessary.

Greenhouse gas emissions and energy consumption

In accordance with the Streamlined Energy and Carbon reporting requirements, an assessment has been carried out of emissions generated from the Group's activities. The data for all UK subsidiaries was considered for reporting purposes, however only the Group met the criteria for mandatory reporting.

The methodology adopted applies to carbon dioxide equivalent (CO₂e) conversion factors in line with the 2019 UK Government environmental reporting guidance to the energy used relating to the purchase of electricity for operating premises, the combustion of gas for heating premises and consumption of fuel for business travel. Data is based on actual information with estimations undertaken to cover missing billing periods. These were calculated on a kWh/day pro-rata basis at meter level. These estimations equated to 0.04% of reported consumption. The following figures show the consumption and associated emissions for the reporting year, with figures from the previous period included for comparison.

	52 weeks ended 26 September 2024	52 weeks ended 28 September 2023
Aggregate electricity and gas consumption	71,134,552 kWh	63,014,704 kWh
Vehicle fuel	143.73 tonnes of CO ₂ e	28.31 tonnes of CO ₂ e
Electricity	4,939.54 tonnes of CO ₂ e	4,682.9 tonnes of CO ₂ e
Tonnes of CO ₂ e per available space	5.22	4.66

Directors' Report *(continued)*

Greenhouse gas emissions and energy consumption *(continued)*

The data is unaudited. The group has disclosed Tonnes of CO₂e per available space as the intensity ratio it considers to be most appropriate to allow comparison.

We are committed to year-on-year improvements in our operational energy efficiency. As such, a register of energy efficiency measures has been compiled with a view to implementing these measures over the next 5 years.

Political and charitable contributions

The group received £22,000 in charitable donations from customers which have been distributed among a number of UK based charities (2023: £28,000).

Disclosure of information to the auditor

The directors who held office at the date of approval of this directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Group's auditor is unaware; and each director has taken all the steps that he ought to have taken as a director to make himself aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

Other information

An indication of likely future developments in the business and particulars of significant events which have occurred since the end of the financial period have been included in the Strategic Report on page 1.

Statement of corporate governance arrangements

As a privately owned company Macdonald Hotels Limited is not obliged to apply any corporate governance code. The directors do recognise the principles of good corporate governance. An appropriately experienced board of directors is maintained at all times. The board meets regularly during the period. Authority for all aspects of the Group's activities rests with the board.

Matters reserved specific to the Board include formulating, reviewing and approving the Group's strategy, budget, major items of capital expenditure, acquisitions and disposals. The Board is also responsible for assessing the risks facing the Group and where possible developing a strategy to mitigate such risk. The board has established an Audit Committee which similar meets regularly during the period to consider the suitability of and monitor the internal control processes of the group. Appointments to the board are made by the board as a whole and it is not considered necessary to create a Nominations Committee.

The board is satisfied that it has an effective and appropriate balance of skills and experience to deliver the strategy of the group for the benefit of the shareholders over the medium to long term.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



H Gillies
Director
22 September 2025

Crutherland House & Spa
Strathaven Road
East Kilbride
G75 0QJ

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RESPECT OF THE STRATEGIC REPORT, THE DIRECTORS' REPORT, AND THE FINANCIAL STATEMENTS

The directors are responsible for preparing the Strategic Report, the Directors' Report and the Group and parent Company financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial period. Under that law they have elected to prepare the Group and parent Company financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and parent Company and of the Group's profit or loss for that period. In preparing each of the Group and parent Company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent Company's transactions and disclose with reasonable accuracy at any time the financial position of the parent Company and enable them to ensure that its financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF MACDONALD HOTELS LIMITED

Opinion

We have audited the financial statements of Macdonald Hotels Limited ("the Company") for the 52-week period ended 26 September 2024 which comprise the Consolidated Profit and Loss Account, Group and Company Balance Sheets, Consolidated Statement of Changes in Equity, Consolidated Cash Flow Statement and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Group's and of the parent Company's affairs as at 26 September 2024 and of the Group's loss for the period then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Group or the Company or to cease their operations, and as they have concluded that the Group and the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

We used our knowledge of the Group, its industry, and the general economic environment to identify the inherent risks to its business model and analysed how those risks might affect the Group's and Company's financial resources or ability to continue operations over the going concern period. The risks that we considered most likely to adversely affect the Group's and Company's available financial resources and/or metrics relevant to debt covenants over this period was the uncertainty in the cash flows in relation to future trading.

We considered whether these risks could plausibly affect the liquidity or covenant compliance in the going concern period by comparing severe, but plausible, downside scenarios that could arise from these risks individually and collectively against the level of available financial resources and covenants indicated by the Group's financial forecasts. Our procedures also included:

- Obtaining and assessing relevant documentation to ascertain the committed level of financing, its duration and related covenant requirements;
- Comparing prior period's prospective financial information against current period's actual financial results and comparing the current period's prospective financial information with the post period end actual results to assess the historical accuracy of forecasting; and
- Performing analysis of changes in key assumptions to understand the sensitivity of the cash flow forecasts in relation to available facility headroom and covenant compliance. We assessed the completeness of the going concern disclosure.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Group or the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Group or the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Using analytical procedures to identify unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit-team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because the recognition of revenue is not complex or subject to estimation or judgement.

We did not identify additional fraud risks.

We performed procedures including identifying journal entries and other adjustments to test based on risk criteria and comparing the identified entries to supporting documentation. These risk criteria included certain keywords, journal postings by unexpected users, and journal postings with unusual account combinations.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit. The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: health and safety, data protection laws, employment law, and certain aspects of company legislation recognizing the nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial period is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 6, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

the purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Hugh Harvie (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
Saltire Court
20 Castle Terrace
Edinburgh
EH1 2EG

22 September 2025

Consolidated profit and loss account for the 52 weeks ended 26 September 2024

	Note	52 weeks ended 26 September 2024			52 weeks ended 28 September 2023		
		Before Exceptional Items £000	Exceptional Items (Note 3) £000	Total £000	Before Exceptional Items £000	Exceptional Items (Note 3) £000	Total £000
Turnover		127,229	-	127,229	128,880	-	128,880
Cost of sales		(118,768)	-	(118,768)	(119,367)	-	(119,367)
Gross profit		8,461	-	8,461	9,513	-	9,513
Administrative expenses		(5,234)	(22,915)	(28,149)	(6,033)	(4,719)	(10,752)
Group operating loss		3,227	(22,915)	(19,688)	3,480	(4,719)	(1,239)
Share of operating profit in joint ventures		730	-	730	1,329	-	1,329
Total operating (loss)/profit		3,957	(22,915)	(18,958)	4,809	(4,719)	90
Profit on sale of land and properties		-	-	-	1,023	-	1,023
(Loss)/profit before interest		3,957	(22,915)	(18,958)	5,832	(4,719)	1,113
Interest expense and similar charges	6	(5,281)	-	(5,281)	(4,679)	-	(4,679)
Loss before taxation		(1,324)	(22,915)	(24,239)	1,153	(4,719)	(3,566)
Tax on loss	7	(178)	-	(178)	(1,319)	1,038	(281)
Loss for the financial period	18	(1,502)	(22,915)	(24,417)	(166)	(3,681)	(3,847)

The group has no other comprehensive income in the current or prior period.

The profit for the period has been derived from continuing activities.

The notes on pages 17 to 40, form part of these financial statements.

Consolidated Balance sheet
at 26 September 2024

	<i>Note</i>	26 September 2024 £000	26 September 2024 Proforma £000	28 September 2023 £000
Fixed assets				
Intangible assets	8	333	333	381
Tangible assets	9	205,725	202,506	207,512
		206,058	202,839	207,893
Investments	10	4,795	4,795	4,867
Total fixed assets		210,853	207,634	212,760
Current assets				
Stocks	11	1,428	1,387	1,362
Debtors: amounts falling due within one year	12	18,762	18,719	17,279
Cash at bank and in hand		9,017	12,895	23,346
		29,207	33,001	41,987
Creditors: amounts falling due within one year	13	(48,545)	(47,592)	(53,826)
Net current liabilities		(19,338)	(14,591)	(11,839)
Total assets less current liabilities		191,515	193,043	200,921
Creditors: amounts falling due after more than one year				
Bank loans and other creditors	14	(45,053)	(43,771)	(45,908)
Provisions for liabilities				
Deferred tax liability	15	(6,981)	(6,981)	(6,812)
Other provisions	16	(15,349)	-	-
		(22,330)	(6,981)	(6,812)
Net assets		124,132	142,291	148,201
Capital and reserves				
Called up share capital	17	3,348	3,348	3,348
Profit and loss account	18	120,784	138,943	144,853
Shareholders' funds		124,132	142,291	148,201

The notes on pages 17 to 40 form part of these financial statements. These financial statements were approved by the board of directors on 22 September 2025 and were signed on its behalf by:



H Gillies
Director

Company Balance sheet
at 26 September 2024

	<i>Note</i>	26 September 2024 £000	28 September 2023 £000
Fixed assets			
Tangible assets	9	1,925	1,915
		1,925	1,915
Investments	10	105,946	105,946
Total fixed assets		107,871	107,861
Current assets			
Stocks	11	31	33
Debtors: amounts falling due within one year	12	132,076	139,378
Cash at bank and in hand		986	8,145
Creditors: amounts falling due within one year	13	133,093 (21,494)	147,556 (29,023)
Net current assets		111,599	118,533
Total assets less current liabilities		219,470	226,394
Creditors: amounts falling due after more than one year			
Bank loans and other creditors	14	(44,995)	(45,859)
Provisions for liabilities			
Other provisions	16	(15,349)	-
Net assets		159,126	180,535
Capital and reserves			
Called up share capital	17	3,348	3,348
Profit and loss account	18	155,778	177,187
Shareholders' funds		159,126	180,535

The notes on pages 17 to 40 form part of these financial statements. These financial statements were approved by the board of directors on 22 September 2025 and were signed on its behalf by:



H Gillies
Director

Consolidated Statement of Changes in Equity

	Called up share capital £000	Profit and loss account £000	Total shareholders equity £000	Total equity £000
Balance at 29 September 2022	3,671	148,700	152,371	152,371
Loss for the period	-	(3,847)	(3,847)	(3,847)
Total comprehensive income for the period	-	(3,847)	(3,847)	(3,847)
Transactions with owners, recorded directly in equity				
Purchase of own shares	(323)	-	(323)	(323)
Total contributions by and distributions to owners	(323)	-	(323)	(323)
Balance at 28 September 2023	3,348	144,853	148,201	148,201

	Called up share capital £000	Profit and loss account £000	Total shareholders equity £000	Total equity £000
Balance at 28 September 2023	3,348	144,853	148,201	148,201
Loss for the period before exceptional items	-	(1,502)	(1,502)	(1,502)
Exceptional items	-	(22,915)	(22,915)	(22,915)
Total comprehensive income for the period	-	(24,417)	(24,417)	(24,417)
Transactions with owners, recorded directly in equity				
Sale of own shares by ESOP trust	-	348	348	348
Total contributions by and distribution by owners	-	348	348	348
Balance at 26 September 2024	3,348	120,784	124,132	124,132

The notes on pages 17 to 40 form part of these financial statements.

Company Statement of Changes in Equity

	Called up share capital £000	Profit and loss account £000	Total equity £000
Balance at 29 September 2022	3,671	180,846	184,517
Loss for the period	-	(3,659)	(3,659)
Total comprehensive income for the period	-	(3,659)	(3,659)
Transactions with owners, recorded directly in equity			
Purchase of own shares	(323)	-	(323)
Total contributions by and distributions to owners	(323)	-	(323)
Balance at 28 September 2023	3,348	177,187	180,535

	Called up share capital £000	Profit and loss account £000	Total Equity £000
Balance at 28 September 2023	3,348	177,187	180,535
Profit for the period before exceptional items	-	1,158	1,158
Exceptional items	-	(22,915)	(22,915)
Total comprehensive income for the period	-	(21,757)	(21,757)
Transactions with owners, recorded directly in equity			
Sale of own shares by ESOP trust	-	348	348
Total contributions by and distributions to owners	-	348	348
Balance at 26 September 2024	3,348	155,778	159,126

The notes on pages 17 to 40 form part of these financial statements.

Consolidated cash flow statement
for the 52 weeks ended 26 September 2024

	2024	2023
	£000	£000
Cash flows from operating activities		
(Loss)/profit for the period	(24,417)	(3,847)
<i>Adjustments for:</i>		
Depreciation, amortisation and impairment	5,920	7,761
Gain on sale of tangible fixed assets	-	(1,023)
Interest payable	5,281	4,679
Taxation	178	281
Share of profit in joint venture	(730)	(1,329)
	(13,768)	6,522
Other non-cash and working capital items		
Increase in trade and other debtors	(1,483)	(1,216)
(Increase)/decrease in stocks	(66)	6
(Decrease)/increase in trade and other creditors	(2,474)	4,357
Increase in provisions	15,349	-
	11,326	3,147
Other cash operating items		
Interest paid	(4,588)	(6,529)
Interest paid on loan notes	(1,760)	(1,473)
Tax paid	(9)	(28)
	(6,357)	(8,030)
Net cash (outflow)/inflow from operating activities	(8,799)	1,639
Cash flows from investing activities		
Proceeds from sale of tangible fixed assets	4	8,348
Acquisition of tangible fixed assets	(4,089)	(6,731)
Sale/(purchase) of own shares	348	(323)
Dividend from joint venture	802	-
Net cash from investing activities	(2,935)	1,294
Cash flows from financing activities		
New Loans	-	51,300
Payment of deferred arrangement fees	-	(2,176)
Repayment of loans	(2,565)	(40,357)
Repayment of loan notes	-	(5,500)
New Finance Agreements	-	284
Capital elements of finance lease payments	(30)	(28)
Net cash (outflow)/inflow from financing activities	(2,595)	3,523
Net (decrease)/increase in cash and cash equivalents	(14,329)	6,456
Cash and cash equivalents at 28 September 2023 and 29 September 2022	23,346	16,890
Cash and cash equivalents at 26 September 2024 and 28 September 2023	9,017	23,346

The notes on pages 17 to 40 form part of these financial statements.

Notes (forming part of the financial statements)

1 Accounting policies

These financial statements are drawn up for the period ended 26 September 2024.

Macdonald Hotels Limited (the “Company”) is a Company limited by shares and incorporated and domiciled in the UK.

These Group and parent Company financial statements were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard* applicable in the UK and Republic of Ireland (“FRS 102”) as issued in August 2014. The presentation currency of these financial statements is sterling. All amounts in the financial statements have been rounded to the nearest £1,000.

The parent Company is included in the consolidated financial statements and is considered to be a qualifying entity under FRS 102 paragraphs 1.8 to 1.12. The following exemptions available under FRS 102 in respect of certain disclosures for the parent Company financial statements have been applied:

- The reconciliation of the number of shares outstanding from the beginning to the end of the period has not been included a second time;
- No separate parent Company Cash Flow Statement with related notes is included; and
- Key Management Personnel compensation has not been included a second time.
- The disclosures required by FRS 102.11 Basic Financial Instruments and FRS 102.12 Other Financial Instrument Issues in respect of financial instruments not falling within the fair value accounting rules of Paragraph 36(4) of Schedule 1.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

Judgements made by the directors, in the application of these accounting policies are considered in note 25.

1.1 Measurement convention

The financial statements are prepared on the historical cost basis.

1.2 Basis of consolidation

The consolidated financial statements include the financial statements of the Company and its subsidiary undertakings made up to 26 September 2024. The acquisition method of accounting has been adopted. Under this method, the results of subsidiary undertakings acquired or disposed of in the period are included in the consolidated profit and loss account from the date of acquisition or up to the date of disposal.

A joint venture is a contractual arrangement undertaking in which The Group exercises joint control over the operating and financial policies of the entity. Where the joint venture is carried out through an entity, it is treated as a jointly controlled entity. The group’s share of the profit less losses of jointly controlled entities is included in the consolidated profit and loss account and its interest in their net assets is recorded on the balance sheet using the equity method.

Under section 408 of the Companies Act 2006 the Company is exempt from the requirement to present its own profit and loss account.

Notes (continued)

1.3 Balance Sheet Proforma

A proforma consolidated balance sheet has been presented on page 12 in order to illustrate the effect of certain post balance sheet events which, under FRS 102 section 32 Events after the end of the reporting period, would be classified as non-adjusting events, as if those events had taken place at an earlier date (i.e. within the financial reporting period).

The proforma balance has been prepared by taking the balance sheets as at 26 September 2024 and reflecting the impact of the following two events as follows:

The trial in the case against the Bank Of Scotland commenced in October 2024 which concluded with an unfavourable ruling in January 2025. At 30 September 2024 a provision for the legal costs and settlement amount associated was made. The total provision amounted to £15.3m. In order to fund the payment of these amounts, the Group received additional bank funding of £17m in the form of a bridging loan. The proforma balance sheet reflects receipt of £17m of bank funding and the payment of £15.3m of legal costs and final settlement amounts.

In September 2025 the group completed the sale of Elmers Court Limited, realising a cash payment (net of associated legal fees) of £21.4m. The proforma balance sheet demonstrates the impact of the receipt of this amount and then subsequent repayment of £18,684,000 of the additional bank funding received including interest, as noted above. Additionally, the de-recognition of the associated assets and liabilities of that hotel is reflected, specifically fixed assets of £3,219,000, debtors of £43,000, stock of £41,000 and creditors due less than one year of £551,000.

1.4 Going concern

The Directors have considered the future financial performance and liquidity of the Group headed by this company ("the Group"). The Group's business activities, together with factors likely to affect its future development, performance and position are also set out in the Strategic Report. These financial statements have been prepared on a going concern basis, notwithstanding net current liabilities of £19.4 million (2023: £11.8 million), for the reasons set out below.

At the year-end the Group was financed by a combination of cash balances, bank debt, loan notes and shareholder loan as set out in note 13. In the period to 26 September 2024 an additional bank facility of £17m was put in place in order to meet the legal fees and settlement costs of an unsuccessful legal claim. The sale of Macdonald Elmers Court Hotel and Resort in August 2025 allowed this facility to be fully repaid and generated additional surplus cash for the Group. The bank facility is subject to financial covenants including Loan to Value, Leverage Ratio and a minimum liquidity requirement of £7.5m.

The Directors have prepared cash flow forecasts for a period of twelve months from the date of approval of these financial statements (the "going concern period") which take into account reasonably possible severe but plausible downsides. The forecasts are based upon levels of trading similar to that experienced over the previous 12 months but taking into account increased interest rates, wages and other costs. The Group has also prepared a downside scenario which reduces anticipated trading levels over the winter period with no growth in trading throughout the rest of the forecast period in comparison to prior years, despite current trading to date having been in excess of that level. This downside scenario indicates that the Group can operate within its new facility and remain compliant with all financial covenants.

Consequently, the Directors are confident that the Group and company will have sufficient funds to continue to meet their liabilities as they fall due for at least twelve months from the date of approval of the financial statements. They have therefore prepared the financial statements on a going concern basis.

Notes (continued)

1.5 Goodwill and negative goodwill

Purchased goodwill (representing the excess of the fair value of the consideration given over the fair value of the separable net assets acquired) arising on consolidation/business combinations in respect of acquisitions is capitalised. Positive goodwill is amortised to nil by equal annual instalments over its estimated useful life. Goodwill is considered to have a finite useful life and is amortised on a systematic basis over its expected life, which is 20 years.

On the subsequent disposal or termination of a business, the profit or loss on disposal or termination is calculated after charging/(crediting) the unamortised amount of any related goodwill (negative goodwill).

1.6 Tangible fixed assets and depreciation

(a) Cost

The Group's fixed assets are recorded at cost less accumulated depreciation and accumulated impairment losses. Costs incurred during the construction of hotels and other properties are recorded as projects in progress and not depreciated. On completion the costs are re-allocated to the appropriate fixed asset category.

Cost includes directly attributable finance costs incurred during construction of new buildings.

(b) Depreciation / impairment

Depreciation is provided to write off the cost less the estimated residual value of tangible fixed assets by equal instalments over their estimated useful economic lives as follows:

Land	- not depreciated
Freehold and long leasehold hotel properties	- 50 years
Short leasehold properties	- over the period of the lease
Office premises	- 50 years
Fixed plant	- 20 years
Furniture, fittings and fixtures	- 4-10 years
Motor vehicles	- 4 years
Information technology equipment	- 4 years

The carrying amounts of the Group's assets are reviewed for impairment when events or changes in circumstances indicate that the carrying amount of the fixed asset may not be recoverable. If any such indication exists, the assets recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or its income-generating unit exceeds its recoverable amount. Impairment losses are recognised in the profit and loss account.

An income generating unit is the smallest identifiable group of assets that generates income that is largely independent of the income streams from other assets or groups of assets, generally an individual hotel.

(c) Calculation of recoverable amount

The recoverable amount of fixed assets is the greater of their net realisable value and value in use. In assessing value in use, the expected future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the rate of return expected on an equally risky investment.

1.7 Exceptional items

Exceptional items comprise items of income and expenditure which merit separate disclosure in order to give an understanding of the Group's underlying financial performance.

1.8 Leases

Assets acquired under finance leases are capitalised and the outstanding future lease obligations are shown in creditors. The lease payments are apportioned between finance charges through the profit and loss account and a reduction in the lease obligations. This apportionment is calculated using the actuarial method, whereby the finance charge is allocated to the accounting periods during the lease term so as to produce a constant periodic rate of charge on the outstanding finance lease obligation. Where a finance lease is recognised following a sale and leaseback transaction any gain arising on the disposal of the original asset is deferred and released over the life of the lease.

Operating lease rentals are charged to the profit and loss account on a straight line basis over the period of the lease.

Notes *(continued)*

1.9 *Post-retirement benefits*

The Group operates a defined contribution pension scheme. The assets of the scheme are held separately from those of the Group in an independently administered fund. The amount charged to the profit and loss account represents the contributions payable to the scheme in respect of the accounting period.

1.10 *Stocks*

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in profit or loss.

1.11 *Taxation*

Tax on the profit or loss for the period comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided on timing differences which arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in the financial statements. Deferred tax is not recognised on permanent differences arising because certain types of income or expense are non-taxable or are disallowable for tax or because certain tax charges or allowances are greater or smaller than the corresponding income or expense.

Deferred tax is measured at the tax rate that is expected to apply to the reversal of the related difference, using tax rates enacted or substantively enacted at the balance sheet date.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

1.12 *Turnover*

Turnover is recognised when the significant risks and rewards of the goods and services provided are transferred to the buyer, the amount of turnover can be measured reliably, and it is probable that the economic benefits associated with the transaction will flow to the Company. Turnover represents the invoiced value of sales, excluding VAT.

Turnover represents the total invoice value, excluding value added tax, of sales made during the period.

Income from the operation of hotels arises primarily from the following streams:

- Sale of goods - turnover from the sale of food and beverages is recognised at the point of sale.
- Rendering of services - turnover from room sales and other guest services is recognised when rooms are occupied and as services are provided. Where payment is received in advance of services provided the amount is recorded in deferred income.

Income from the operation of resort properties arises primarily from the following streams:

- Rental Properties and sale of goods - turnover from the sale of food and beverages is recognised at the point of sale.
- Rendering of services - turnover from room sales and other guest services is recognised, on an accruals basis, when rooms are occupied and as services are provided. Turnover from the rental of timeshare units is recognised on an accruals basis over the rental period. Turnover from management of timeshare units is recognised on an accruals basis on delivery of the related service.

Notes (continued)

1.13 Own shares held by ESOP trust

Transactions of the Company-sponsored ESOP trust are treated as being those of the Company and are therefore reflected in the parent company and group financial statements. In particular, the trust's purchases of shares in the Company are debited directly to equity.

1.14 Investments

In the Company's financial statements, investment in subsidiary undertakings and joint ventures are stated at cost less impairment.

1.15 Impairment excluding stocks and deferred tax assets

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the assets original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of non-financial assets, other than investment property, stocks and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing is allocated to cash-generating units (CGU), that are expected to benefit from the synergies of the combination. For the purpose of goodwill impairment testing, if goodwill cannot be allocated to individual CGUs or groups of CGUs on a non-arbitrary basis, the impairment of goodwill is determined using the recoverable amount of the acquired entity in its entirety, or if it has been integrated then the entire entity into which it has been integrated.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a *pro rata* basis.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Notes (continued)

1.16 Basic financial instruments

Trade and other debtors / creditors

Trade and other debtors are recognised initially at transaction price less attributable transaction costs. Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors. If the arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument. Intercompany debtors and creditors are settled at the entity level with the net amount reported in the Statement of Financial Position.

Interest-bearing borrowings classified as basic financial instruments

Interest-bearing borrowings are recognised initially at the present value of future payments discounted at a market rate of interest. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of cash management are included as a component of cash and cash equivalents for the purpose only of the cash flow statement.

1.17 Provisions

A provision is recognised in the balance sheet when the entity has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are recognised at the best estimate of the amount required to settle the obligation at the reporting date.

Notes (continued)

2 Segmental information

	52 weeks ended 26 September 2024		52 weeks ended 28 September 2023	
	Turnover £000	Profit/(loss) before interest £000	Turnover £000	Profit/(loss) before interest £000
Hotels	106,360	5,343	108,901	7,968
Resorts	20,869	3,118	19,979	1,545
Corporate and other activities	-	(28,149)	-	(10,752)
	127,229	(19,688)	128,880	(1,239)
Share of joint ventures' results	-	730	-	1,329
Profit on sale of properties and land	-	-	-	1,023
Total	127,229	(18,958)	128,880	1,113

Turnover by geographical location is analysed as originating in the United Kingdom £120.5m (2023: £122.7m) and in Spain £6.7m (2023: £6.2m). During the prior period one hotel was sold. This has not been classified and disclosed as discontinued operations as it did not represent a separate major line of the business or geographical area of operation.

	Group £000	JV & Associates & MI £000	2024 Total £000	Group £000	JV & Associates & MI £000	2023 Total £000
Group operating loss	(19,688)	730	(18,958)	(1,239)	1,329	90
Net group interest expense and similar charges	(5,281)	-	(5,281)	(4,679)	-	(4,679)
Tax on profit/(loss) on ordinary activities	(178)	-	(178)	51	(332)	(281)
Loss for the period excluding gains on disposals	(25,147)	730	(24,417)	(5,867)	997	(4,870)
Profit on sale of properties and land	-	-	-	1,023	-	1,023
(Loss)/profit for the financial period	(25,147)	730	(24,417)	(4,844)	997	(3,847)

Notes (continued)

3 Expenses and auditor's remuneration

	52 weeks ended 26 September 2024 £000	52 weeks ended 28 September 2023 £000
<i>Included in Profit are the following:</i>		
Depreciation	5,872	5,709
Amortisation of intangible fixed assets	48	48
Amounts written off tangible fixed assets	-	2,004
Legal & professional fees (exceptional item)	9,815	2,715
Legal settlement cost (exceptional item)	13,100	-
Hire of land and buildings – rentals payable under operating leases	4,524	4,323
Hire of other assets – operating leases	197	159
<i>Auditor's remuneration:</i>		
Audit of these financial statements	50	50
Amounts receivable by the auditor and their associates in respect of:		
- audit of financial statements of subsidiaries pursuant to legislation	187	190

Amounts paid to the Company's auditor in respect of services to the Company, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis.

The Legal settlement cost and the Legal and Professional fees relate to a one-off legal claim initiated by the company which is not expected to recur.

Included in Administrative expenses is an amount of £nil (2023: £2,004,000) which related to the disposal of land in a prior period. The amount was incorrectly included in fixed assets at 31 March 2016. As the Directors do not consider the effect on the prior period financial statements to be material, this has been corrected in the current period.

4 Remuneration of directors

	52 weeks ended 26 September 2024 £000	52 weeks ended 28 September 2023 £000
Directors' emoluments	1,036	956
	1,036	956

The aggregate emoluments of the highest paid director were £505,000 (2023: £505,000)

The Company does not have any key management personnel who are not also Directors of the Company. As such, the total emoluments paid to key management personnel is consistent with the Directors' emoluments noted above being £1,036,000 (2023: £956,000).

Notes (continued)

5 Staff numbers and costs

The average number of persons employed by the Group (including directors), analysed by category, was as follows:

	Number of employees	
	2024	2023
Employees of owned hotels	2,250	2,492
Employees operating management contracts	202	217
	<u>2,452</u>	<u>2,709</u>

The aggregate payroll costs of these persons were as follows:

	52 weeks ended 26 September 2024 £000	52 weeks ended 28 September 2023 £000
Wages and salaries	48,054	46,588
Social security costs	3,647	3,562
Other pension costs	775	712
	<u>52,476</u>	<u>50,862</u>
of which recharged under management contracts	<u>(5,157)</u>	<u>(5,034)</u>
	<u>47,319</u>	<u>45,828</u>

Macdonald Resorts Limited, a subsidiary of Macdonald Hotels Limited, operates the payroll on behalf of the clubs and the costs are recharged.

6 Interest (receivable)/expense and similar charges

	52 weeks ended 26 September 2024 £000	52 weeks ended 28 September 2023 £000
Interest on bank borrowings	4,211	3,552
Interest on loan notes	606	939
Interest received	(39)	-
Finance charge in respect of finance leases	17	6
Foreign exchange (gain)/loss	19	(8)
Amortisation of arrangement fees (see note 13)	467	190
	<u>5,281</u>	<u>4,679</u>
Interest expense and similar charges	<u>5,281</u>	<u>4,679</u>

Notes (continued)

7 Taxation

The tax charge comprises:

	52 weeks ended 26 September 2024 £000	52 weeks ended 28 September 2023 £000
<i>UK Corporation tax</i>		
Share of tax on operating profit in joint ventures	-	292
Overseas tax	-	46
Adjustments in respect of prior periods	3	(19)
Effect of tax rate change	6	40
Total current tax charge	9	359
<i>Deferred tax</i>		
Origination and reversal of timing differences	171	36
Adjustments in respect of prior periods	(2)	(144)
Effect of tax rate change	-	30
Total deferred tax	169	(78)
Total tax charge	178	281

Reconciliation of effective tax rate

	52 weeks ended 26 September 2024 £000	52 weeks ended 28 September 2023 £000
Loss for the period	(24,417)	(3,847)
Total tax charge	178	281
Loss excluding taxation	(24,239)	(3,566)
Tax using the UK corporation tax rate of 25% (2023: 22%)	(6,060)	(784)
Effects of:		
Expenses not deductible	88	745
Gain not taxable	-	(225)
Income not taxable	(201)	-
Fixed asset differences	806	760
Deferred tax losses not recognised	5,542	(157)
Adjustments to tax charge in respect of previous periods	1	(163)
Effect of tax rate change	6	70
Other	(4)	35
Total tax charge included in profit or loss	178	281

Notes (continued)

7 Taxation (continued)

Factors that may affect future current and total tax charges

The Group has tax losses (trading losses and non-trading deductions) available for offset against future taxable profits of £70m (2023: £44m), combined differences between accumulated depreciation and capital allowances of £5m (2023: £3m) and other timing differences of £23m (2023: £23m). These have not been recognised as a deferred tax asset due to uncertainty over the availability of future taxable profits suitable for the utilisation of these losses.

Deferred taxes at the balance sheet date have been measured using these enacted tax rates and reflected in these financial statements.

8 Intangible fixed assets

Group

	Goodwill £000
<i>Cost</i>	
At beginning of period and end of period	1,671
<i>Amortisation and impairment</i>	
At beginning of period	1,290
Charge for period	48
At end of period	1,338
<i>Net book value</i>	
At 26 September 2024	333
At 28 September 2023	381

The amortisation for the period is included within administrative expenses in the profit and loss account.

Notes (continued)

9 Tangible fixed assets

Group	Land and buildings £000	Fixed plant £000	Vehicles, fittings and equipment £000	Projects in progress £000	Total £000
Cost					
At beginning of period	236,812	33,943	121,306	5,753	397,814
Additions	-	85	400	3,604	4,089
Disposals	-	(8,405)	(62,864)	-	(71,269)
Transfers	-	1,202	4,697	(5,899)	-
At end of period	236,812	26,825	63,539	3,458	330,634
Depreciation					
At beginning of period	56,197	28,191	105,914	-	190,302
Depreciation charge for period	697	668	4,507	-	5,872
Disposals	-	(8,405)	(62,860)	-	(71,265)
Reclassification	-	(11)	11	-	-
At end of period	56,894	20,443	47,572	-	124,909
Net book value					
At 26 September 2024	179,918	6,382	15,967	3,458	205,725
At 28 September 2023	180,615	5,752	15,392	5,753	207,512

Freehold land and buildings includes £18,034,000 (2023: £18,034,000) of land which is not depreciated.

Fixed assets include interest capitalised of £790,000 (2023: £792,000). The net book value of land and buildings comprises:

	25 September 2024 £000	28 September 2023 £000
Freehold	179,230	179,879
Short leasehold	688	736
	179,918	180,615

Included in the total net book value of vehicles, fittings and equipment is £260,000 (2023: £267,000) of assets held under finance leases. Depreciation for the period on these assets was £43,000 (2023: £21,000).

Notes (continued)

9 Tangible fixed assets (continued)

Company	Freehold properties £000	Leasehold properties £000	Vehicles, fittings and equipment £000	Projects in progress £000	Total £000
Cost					
At beginning of period	685	3,304	10,525	77	14,591
Additions	-	-	85	205	290
Transfers	-	-	191	(191)	-
Disposals	-	-	(6,258)	-	(6,258)
At end of period	685	3,304	4,543	91	8,623
Depreciation					
At beginning of period	217	3,304	9,155	-	12,676
Charge for period	-	-	280	-	280
On disposal	-	-	(6,258)	-	(6,258)
At end of period	217	3,304	3,177	-	6,698
Net book value					
At 26 September 2024	468	-	1,366	91	1,925
At 28 September 2023	468	-	1,370	77	1,915

Freehold properties include land of £100,000 (2023: £100,000) which is not depreciated.

10 Fixed asset investments

Group	Interests in joint ventures £000
Share of post-acquisition results	
At beginning of period	997
Share of profit after tax for the period	730
Dividend paid	(802)
At end of period	925
Loans	
At beginning of period	3,870
At end of period	3,870
Net book Value	
At 26 September 2024	4,795
At 28 September 2023	4,867

Notes (continued)

10 Fixed asset investments (continued)

The Group also holds an interest in Portal Hotel Golf & Country Club Limited which is now negative. This will be held off balance sheet as long as it remains a negative investment. The net book value of this investment at the year-end was a liability of £5.4m (2023: £4.9m).

Company	Shares in Subsidiaries
	£000
Cost	
At beginning and end of period	225,291
Provisions	
At beginning and end of period	119,345
Net book value	
At 26 September 2024	105,946
At 28 September 2023	105,946

A list of the Group and Company's subsidiary and joint venture undertakings is included at note 24.

11 Stocks

	Group		Company	
	26 September 2024 £000	28 September 2023 £000	26 September 2024 £000	28 September 2023 £000
Goods for resale	1,428	1,362	31	33

Goods for resale recognised as cost of sales in the Group in the period amounted to £18,639,000 (2023: £20,043,000) and the Company amounted to £1,762,000 (2023: £1,895,000).

12 Debtors: amounts falling due within one year

	Group		Company	
	26 September 2024 £000	28 September 2023 £000	26 September 2024 £000	28 September 2023 £000
Trade debtors	4,769	4,960	627	470
Other debtors and prepayments	12,918	11,563	2,945	2,031
Group relief receivable	-	-	1,869	391
Amounts owed by group undertakings	-	-	126,364	135,730
Amounts owed by related parties	1,075	756	271	756
	18,762	17,279	132,076	139,378

Although amounts due from Group undertakings are payable on demand, the parent Company has no plans to demand settlement in the short term.

Notes (continued)

13 Creditors: amounts falling due within one year

	Group		Company	
	25 September	28 September	25 September	28 September
	2024	2023	2024	2023
	£000	£000	£000	£000
Bank loans	814	2,093	814	2,093
Loan notes	6,129	7,283	6,129	7,283
Trade creditors	13,530	15,419	4,194	11,171
Other taxation and social security	4,649	3,647	818	308
Other creditors	8,378	11,225	4,074	3,510
Accruals and deferred income	13,650	12,406	4,100	2,927
Obligation under finance leases	118	97	88	75
Interest and redemption premium accrual	1,277	1,656	1,277	1,656
	48,545	53,826	21,494	29,023

Analysis of bank debt as at 26 September 2024

	Drawn	Headroom/ undrawn facilities	Total facilities	Repayment terms
	£000	£000	£000	
Bank loans				
Term loans - Facility A	8,977	-	8,977	Repayable by 5 May 2028
-Facility B	38,475	-	38,475	Repayable by 5 May 2028
- Revolving Credit Facility	-	5,000	5,000	
	47,452	5,000	52,452	

In May 2023, the Group refinanced, securing a £51.3m 5 year term loan and a £5m revolving credit facility. The term loan bears interest at a rate of SONIA +3.25% and Royal Bank of Scotland and Barclays hold fixed and floating charges over certain of the UK assets of the Company and its wholly owned subsidiaries.

Under the terms of this agreement the Group must meet certain financial covenants in relation to the Group's consolidated financial position. All loans are in sterling.

Deferred Bank arrangement fees of £1,693,000 (2023: £2,176,000) are netted off against bank loans. £467,000 was amortised and charged to the profit and loss account during the period (2023: £190,000).

Loan notes are due to related parties. These loan notes are repayable in the quarter in which certain financial metrics are met and repayment would not cause breaches in other financial metrics.

Notes (continued)

14 Creditors: amounts falling due after more than one year

	Group		Company	
	25 September	28 September	25 September	28 September
	2024	2023	2024	2023
	£000	£000	£000	£000
Bank loans	44,945	45,749	44,945	45,749
Obligation under finance leases	108	159	50	110
	<u>45,053</u>	<u>45,908</u>	<u>44,995</u>	<u>45,859</u>

Analysis of finance leases:

	Group		Company	
	25 September	28 September	25 September	28 September
	2024	2023	2024	2023
	£000	£000	£000	£000
Debt can be analysed as falling due:				
In one year or less	118	97	88	75
Between one and two years	77	95	50	75
Between two years and five years	31	64	-	35
	<u>226</u>	<u>256</u>	<u>138</u>	<u>185</u>

Analysis of loans (including loan notes):

	Group		Company	
	25 September	28 September	25 September	28 September
	2024	2023	2024	2023
	£000	£000	£000	£000
Debt can be analysed as falling due:				
In one year or less	7,411	9,848	7,411	9,848
Between one and two years	2,565	2,565	2,565	2,565
Between two years and five years	43,605	44,888	43,605	44,888
Arrangement Fees	(1,693)	(2,176)	(1,693)	(2,176)
	<u>51,888</u>	<u>55,125</u>	<u>51,888</u>	<u>55,125</u>

Notes (continued)

15 Deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

Group	Assets		Liabilities		Net	
	26 September 2024	28 September 2023	26 September 2024	28 September 2023	26 September 2024	28 September 2023
	£000	£000	£000	£000	£000	£000
Accelerated capital allowances	-	-	(3,718)	(3,219)	(3,718)	(3,219)
Rolled over capital gains	-	-	(5,323)	(5,323)	(5,323)	(5,323)
Other timing differences	2,060	1,730	-	-	2,060	1,730
Deferred tax assets/(liabilities)	2,060	1,730	(9,041)	(8,542)	(6,981)	(6,812)
Net of deferred tax (liabilities)/assets	(2,060)	(1,730)	2,060	1,730	-	-
Net deferred tax liabilities	-	-	(6,981)	(6,812)	(6,981)	(6,812)

In addition to the deferred tax liabilities above the Group has tax losses (trading losses and non-trading deductions) available for offset against future taxable profits of £70m (2023: £44m), combined differences between accumulated depreciation and capital allowances of £5m (2023: £3m) and other timing differences of £23m (2023: £23m). These have not been recognised as a deferred tax asset due to uncertainty over the availability of future taxable profits suitable for the utilisation of these losses.

16 Other provisions

Group and Company

	Settlement costs £000	Legal fees £000	Total £000
Balance as at 29 September 2023	-	-	-
Provision made in period	(13,100)	(2,249)	(15,349)
As at 26 September 2024	(13,100)	(2,249)	(15,349)

The other provision in the period is to provide for legal settlement costs and legal fees in respect of the unsuccessful legal claim initiated by the company.

17 Called up share capital

Group and Company

	25 September 2024 £000	28 September 2023 £000
<i>Allotted, called up and fully paid</i>		
3,348,365 A ordinary shares of £1 each	3,348	3,671
Repurchase of 322,500 A ordinary shares of £1 each	-	(323)
	3,348	3,348

Notes (continued)

18 Profit and loss account

	Group £000	Company £000
At 28 September 2023	144,853	177,187
Total comprehensive income for the financial period	(24,417)	(21,757)
Consideration received for the sales of shares by ESOP Trust	348	348
At 26 September 2024	120,784	155,778

The group's and the company's profit and loss account reserve includes a loan due by the ESOP Trust of £774,000. (2023: £774,000).

The company profit and loss account largely relates to the sale of hotels within the group at fair value. This element of the Profit and loss account, having not been realised is not distributable.

19 Contingent liabilities

The company has an obligation under the group VAT registration amounting at 26 September 2024 to £2.9 million (2023: £2.6 million).

20 Commitments

- (a) Capital commitments at the end of the financial period, for which no provision has been made, are nil.
- (b) Total commitments under non-cancellable operating leases are as follows:

	26 September 2024		28 September 2023	
	Land and buildings £000	Other £000	Land and Buildings £000	Other £000
Group				
Operating leases which expire:				
Within one year	4,316	161	4,281	159
In the second to fifth years inclusive	16,985	241	17,081	348
Over five years	216,816	-	220,685	-
	238,117	402	242,047	507
Company				
Operating leases which expire:				
Within one year	3,599	-	3,563	-
In the second to fifth years inclusive	14,394	-	14,253	-
Over five years	187,327	-	190,728	-
	205,320	-	208,544	-

Notes (continued)

21 Pension scheme

The Group operates a Group Personal Pension (GPP) which is administered by an independent third party. The GPP is a series of individual personal pension plans into which Macdonald Hotels Limited makes contributions. Pension costs represent contributions payable to the GPP, together with defined contributions payable by the Group to other individual personal pension plans administered separately for directors and certain employees in accordance with their respective service contracts or terms and conditions of employment, which are charged to the profit and loss account.

The total of employers' contributions for the period was £775,000 (2023: £712,000). Employer and employee contributions totalling £274,000 (2023: £313,000) remain unpaid at 26 September 2024 and are included in other creditors.

In addition the Company has two other defined contribution occupational pension schemes which are closed to new members and no longer receive further contributions, the MHL Pension scheme and Macdonald Hotels plc Group Pension Scheme.

22 Net debt

The below is an analysis of changes in net debt from the beginning to the end of the current financial period:

	Borrowings due within one year £000	Borrowings due after one year £000	Subtotal £000	Cash and cash equivalents £000	Net debt £000
Net debt analysis					
Balance at 28 September 2023	(9,473)	(45,908)	(55,381)	23,346	(32,035)
Cash inflows/(outflows)	2,433	804	3,237	(14,329)	(11,092)
Other non-cash changes	(21)	51	30	-	30
Balance at 26 September 2024	(7,061)	(45,053)	(52,114)	9,017	(43,097)

23 Related party disclosures

Group

Transactions between Macdonald Hotels Limited and its related parties include the recharge of invoices which relate to goods and services purchased by the Company in order to take advantage of increased purchasing power and rebates.

The Group has a fifty per-cent interest in the shareholding of Portal Hotel, Golf and Country Club Limited. During the period the group recharged invoices totalling £1,047,000 (2023: £316,000). At the period end the Group was due £825,000 (2023: £458,000) in respect of outstanding trading balances. There was no trading with the other joint ventures in the year.

The Group was due £289,000 (2023: £82,000) in respect of outstanding trading balances from Monument Leisure Limited, a company related by a common director. During the period the Group recharged invoices totalling £696,000 (2023: £nil).

The Group settled invoices on behalf of Cardrona Company, a company related by a common director. During the year totalling £nil (2023: £236,000). At the period end the Group was due £nil (2023: £236,000) in respect of these. At the period end the Group owes £6,129,000 (2023: £7,283,000) in respect of loan notes. There were no further material transactions with related parties in the period.

Notes *(continued)*

23 Related party disclosures *(continued)*

Company

The Company has a fifty per-cent interest in the shareholding of Portal Hotel, Golf and Country Club Limited. The Company was due £nil (2023: £458,000) in respect of outstanding trading balances.

The Company was due £291,000 (2023: £82,000) in respect of outstanding trading balances from Monument Leisure Limited, a company related by a common director.

The Company settled invoices on behalf of Cardrona Company during the year totalling £nil (2023: £236,000) At the period end the Group was due £nil (2023: £236,000) in respect of these. At the period end the Company owes £6,129,000 (2023: £7,283,000) in respect of loan notes. There were no further material transactions with related parties in the period.

Notes (continued)

24 Investments

The Group's interest in its subsidiary and joint venture undertakings at 26 September 2024 was as set out below along with details of their respective registered offices. All subsidiaries are 100% owned unless otherwise stated and all joint ventures are 50% owned unless otherwise stated.

*Indicates direct investment

Subsidiary undertakings

Registered office address

Holding Company

Macdonald Hotels Investments Limited*

Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Ownership & Operation of Hotels

Intra Inns Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Ledge 563 Limited

Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Callers-Linden Holdings Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Aviemore Highland Resort Limited

Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Macdonald Alveston Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Bear Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Berystede Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Blossoms Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Botley Park Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Compleat Angler Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Crutherland Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Frimley Hall Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Houstoun House Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Leeming House Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Tickled Trout Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Kilhey Court Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Hill Valley Hotel, Golf and Country Club Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Cardrona Hotel, Golf and Country Club Limited

Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Management of hotels & Leisure Businesses

Macdonald Hotels (Management) Limited

Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Property Management

Bobsleigh Inn Limited*

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Egerton House Developments Limited*

Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Sale, Management & Rental of Timeshare Units

Macdonald Resorts Limited

Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Macdonald Resorts (La Ermita) Limited

Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Rental of Property

Leila Playa No 4 Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Macdonald Dona Lola No 1 Limited

Foss Islands House, Foss Islands Road, York, England, YO31 7UJ

Notes (continued)

24 Investments (continued)

Subsidiary undertakings (continued)

Joint Ventures

Portal Hotel, Golf and Country Club Limited (50% interest)	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Sco Hotels Co Limited (50% interest)	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Lymm (Villafont) Limited (50% interest)	1 St Georges Court, Altrincham Business Park, Altrincham, WA14 5UA
New Care (Egerton) Holdings Limited (50% interest)	1 St Georges Court, Altrincham Business Park, Altrincham, WA14 5UA

Dormant Companies

Craxton Wood Developments Limited	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Kilhey Court Hotels Limited	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Waterloo Holdings Limited*	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Macdonald Travel Club Limited	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Macdonald Loch Rannoch Limited	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Pittodrie Group Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
MDH 123 Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Forest Hills (Aberfoyle) Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Aviemore Development Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Management Services Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Cardrona Partnership Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Portland Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Timeshare Options Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resort Ownership Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels (Solberge) Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Aviemore Leisure Management Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Beginmajor Limited	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Countrystown Hotels Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Inchyra Grange Hotel Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Inchyra Services Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Inchyra Grange Limited*	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Leisure Resorts Management Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Golf Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotel and Resorts Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
MH Apartments Limited*	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Thainstone House Hotel Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Windsor Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Burlington Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Botley Park Golf Club Limited*	Foss Islands House, Foss Islands Road, York, England, YO31 7UJ
Acova Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Equity Trustee Company Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels MTIP Trustee Company Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Whiteside Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Lochanully Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Plas Talgarth Limited*	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Winterhaven Properties Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Resorts Hospitality Services SL	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resorts Spain SA	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Hotels Developments Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ
Macdonald Resorts (Vale D'Oliveiras) Limited	Crutherland House & Spa, Strathaven Road, East Kilbride, G75 0QJ

Notes (continued)

24 Investments (continued)

The subsidiaries listed below are exempt from the Companies Act 2006 requirements relating to the audit of their individual accounts for the year ended 26 September 2024 by virtue of Section 479A of the Act as this company has guaranteed each subsidiary company under Section 479C of the Act

Intra Inns Ltd	00921405
Ledge 563 Ltd	SC213290
Callers-Linden Holdings Ltd	03083842
Macdonald Aviemore Highland Resort Limited	SC360380
Macdonald Alveston Ltd	05948390
Macdonald Tickled Trout Ltd	05948291
Macdonald Bear Ltd	05948334
Macdonald Berystede Ltd	05948377
Macdonald Blossoms Ltd	05948437
Bobsleigh Inn Ltd	05948480
Macdonald Botley Park Ltd	05903092
Macdonald Compleat Angler Ltd	05948433
Macdonald Crutherland Ltd	05948367
Macdonald Frimley Hall Ltd	05948458
Macdonald Houstoun House Limited	05960340
Macdonald Leeming House Ltd	05948329
Macdonald Kilhey Court Ltd	05948311
Macdonald Hotels (Management) Ltd	SC141208
Hill Valley Hotel Golf & Country Club Limited	04934492
Egerton House Developments Limited	SC574040
Inchyra Grange Hotel Ltd	SC060447
Cardrona Hotel, Golf & Country Club Ltd	SC187420
Leila Playa No.4 Ltd	01981477
Macdonald Dona Lola No.1 Ltd	02099183
Macdonald Resorts (La Ermita) Ltd	SC187439

25 Accounting estimates and judgements

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities as at the balance sheet date and the amounts reported for revenues and expenses during the period. However, the nature of estimation means that actual outcomes could differ from those estimates. The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements:

Impairment of tangible assets, goodwill and investments.

The Group considers whether tangible assets, investments and/or goodwill are impaired. Where an indication of impairment is identified the estimation of recoverable value requires estimation of the recoverable value of the cash generating units (CGUs). This requires estimation of the future cash flows from the CGUs and also selection of appropriate discount rates in order to calculate the net present value of those cash flows

Taxation

Management estimation is required to determine the amount of deferred tax assets that can be recognised, based upon likely timing and level of future taxable profits together with an assessment of the effect of future tax planning strategies.

26 Post Balance Sheet Event

The trial in the case against the Bank Of Scotland commenced in October 2024, which concluded with an unfavourable ruling in January 2026. This judgement resulted in a settlement of £13.1 million, £11.6 million part settled in February 2025 and £1.5 million in full and final settlement in August 2025.

In February 2025, the Company successfully arranged a 12-month bridging facility of £17.0 million with Barclays and Royal Bank of Scotland. Following the sale of Elmers Court Hotel and Resort in September 2025, the bridging facility was fully repaid within the same month.

27 Ultimate Controlling Party

In the opinion of the directors there is no ultimate controlling party.